

## **SECTION B – WRITTEN QUESTIONS** (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

### **Question 1** (28 marks – approximately 50 minutes)

Peacock Limited ("Peacock") acquired 80% of the ordinary shares of Salmon Limited ("Salmon") and 40% of the ordinary shares of Alligator Limited ("Alligator") on 1 April 2023. Peacock, together with its subsidiary, is collectively known as the Peacock Group (the "Group").

#### Acquisition of the shares of Salmon

On 1 April 2023, Peacock paid HK\$109,140,000 for the acquisition of the shares of Salmon. Since then, Salmon has become a subsidiary of the Group. Peacock assessed that, on 1 April 2023, the fair values of Salmon's recorded net assets were equal to their carrying amounts, except for an owner-occupied property which had a carrying amount of HK\$72,000,000 ("Property S"). Property S had a fair value of HK\$96,000,000 on 1 April 2023 and was assessed, on the same day, to have a remaining useful life of 40 years with no residual value. Peacock chose to measure the non-controlling interest in Salmon at its fair value which was measured at HK\$27,280,000 at the acquisition date. Goodwill arising from this acquisition has not been impaired since acquisition.

On 1 July 2023, Peacock sold inventories to Salmon at a transfer price of HK\$18,000,000. Such sales were made at a mark-up on cost of 20%. Salmon sold 75% of these inventories to its customers by 31 March 2024.

#### Acquisition of the shares of Alligator

On 1 April 2023, Peacock paid HK\$55,110,000 for the acquisition of the shares of Alligator. Since then, Alligator has become an associate of the Group. On the same day, Peacock appointed two out of five directors to the board of Alligator. Peacock assessed that, on 1 April 2023, the fair values of Alligator's recorded net assets were equal to their carrying amounts. On top of the above, Alligator owned an internally generated customer database with a fair value of HK\$6,400,000 on 1 April 2023. This database, which was assessed to be identifiable, was believed to have a useful life of 4 years with no residual value. On 1 January 2024, Alligator declared and distributed dividends to its shareholders.

The companies in the Group have not issued any shares since 1 April 2023.

#### Selected accounting policies

- Properties, plant and equipment are measured using the cost model in accordance with HKAS 16 *Property, Plant and Equipment*.
- Intangible assets are measured using the cost model in accordance with HKAS 38 *Intangible Assets*.
- Non-current assets are depreciated/ amortised over their respective useful lives on a straight-line basis.
- Depreciation and amortisation are recorded on a monthly basis.
- The investments in subsidiary and associate are presented in the separate financial statements at cost.

Statements of financial position as at 31 March 2024

|                                      | <b>Peacock<br/>HK\$'000</b> | <b>Salmon<br/>HK\$'000</b> | <b>Alligator<br/>HK\$'000</b> |
|--------------------------------------|-----------------------------|----------------------------|-------------------------------|
| <b><u>Assets</u></b>                 |                             |                            |                               |
| Property, plant and equipment        | 261,000                     | 197,000                    | 125,000                       |
| Investments                          | 165,000                     | -                          | -                             |
| Current assets                       | 44,000                      | 66,000                     | 99,000                        |
| <b>Total assets</b>                  | <b>470,000</b>              | <b>263,000</b>             | <b>224,000</b>                |
| <b><u>Equity and liabilities</u></b> |                             |                            |                               |
| Share capital                        | 193,000                     | 50,000                     | 75,000                        |
| Retained earnings, 1 April 2023      | 72,000                      | 61,000                     | 55,000                        |
| Add: Profit for the year             | 43,000                      | 30,000                     | 14,000                        |
| Less: Dividends declared             | (9,000)                     | -                          | (4,000)                       |
| Retained earnings, 31 March 2024     | 106,000                     | 91,000                     | 65,000                        |
| Total equity                         | 299,000                     | 141,000                    | 140,000                       |
| Current liabilities                  | 171,000                     | 122,000                    | 84,000                        |
| <b>Total equity and liabilities</b>  | <b>470,000</b>              | <b>263,000</b>             | <b>224,000</b>                |

**Required:**

- (a) Explain, based on the information provided, why Alligator has become an associate of the Group since 1 April 2023. Furthermore, outline how an investor should account for investment in an associate in its consolidated financial statements of the Group. No computation is required for this part. (6 marks)
- (b) Prepare the consolidated statement of financial position of the Group as at 31 March 2024. (22 marks)

Note: You have to show your workings, including supporting calculations and/ or the consolidation adjustment journal entries, in Question 1(b).

**Question 2 (28 marks – approximately 50 minutes)**

Baboons Limited ("Baboons") has the following statement of profit or loss and other comprehensive income for the year ended 31 March 2024 and statements of financial position as at 31 March 2023 and 31 March 2024.

Statement of profit or loss and other comprehensive income  
for the year ended 31 March 2024

|                                                            | HK\$        |
|------------------------------------------------------------|-------------|
| Revenue                                                    | 4,022,000   |
| Cost of sales                                              | (1,670,000) |
| Gross profit                                               | 2,352,000   |
| Selling and administrative expenses                        | (2,400,000) |
| Gain on disposal of equipment ( <i>Note 1</i> )            | 420,000     |
| Loss on fair value change of investments ( <i>Note 4</i> ) | (180,000)   |
| Profit before tax                                          | 192,000     |
| Income tax expense                                         | (31,000)    |
| Profit for the year                                        | 161,000     |

Statements of financial position

|                                                 | 31 March 2024<br>HK\$ | 31 March 2023<br>HK\$ |
|-------------------------------------------------|-----------------------|-----------------------|
| <u>Non-current assets</u>                       |                       |                       |
| Property, plant and equipment ( <i>Note 1</i> ) | 38,369,740            | 34,950,000            |
| Intangible assets ( <i>Note 2</i> )             | 1,790,260             | 329,800               |
| Long-term investments ( <i>Note 4</i> )         | 880,000               | 1,060,000             |
| <u>Current assets</u>                           |                       |                       |
| Inventories                                     | 723,000               | 690,000               |
| Trade and other receivables                     | 180,000               | 182,000               |
| Cash                                            | 1,732,000             | 1,396,200             |
| Total assets                                    | 43,675,000            | 38,608,000            |
| <u>Equity</u>                                   |                       |                       |
| Share capital                                   | 15,000,000            | 10,000,000            |
| Retained earnings                               | 27,963,000            | 27,900,000            |
| Total equity                                    | 42,963,000            | 37,900,000            |
| <u>Current liabilities</u>                      |                       |                       |
| Trade and other payables                        | 660,000               | 651,000               |
| Current tax payable                             | 52,000                | 57,000                |
| Total equity and liabilities                    | 43,675,000            | 38,608,000            |

Baboons did not have any borrowings throughout the years. The financial effects of the following information **have already been captured** in accordance with the respective financial reporting standards in the financial statements above:

- (1) During the year ended 31 March 2024, Baboons disposed of equipment items with a cost of HK\$8,400,000 and accumulated depreciation of HK\$6,400,000. Furthermore, Baboons acquired equipment items during the year and settled all the purchases in cash. Baboons recorded depreciation of HK\$980,000, which was included in selling and administrative expenses. Baboons measures all its equipment items using the cost model in accordance with HKAS 16 *Property, Plant and Equipment*.
- (2) During the year ended 31 March 2024, Baboons acquired a brand from an unrelated party ("Brand A"), partly paid in cash and partly by issuing 100,000 ordinary shares having a fair value of HK\$3 each as at the date of purchase. This would give Baboons the ability to produce and sell products under Brand A. This was the only acquisition of intangible asset during the year ended 31 March 2024 and Baboons did not dispose of any intangible asset. Baboons recorded HK\$70,000 amortisation expense which was included in selling and administrative expenses.
- (3) On top of the acquisition of Brand A, Baboons spent on developing a new brand ("Brand B") and training its employees to improve its operational efficiency.
- (4) During the year ended 31 March 2024, Baboons did not purchase additional long-term investments. In accordance with HKFRS 9 *Financial Instruments*, Baboons measures all its long-term investments at fair value through profit or loss. Baboons did not receive any dividends from such investments during the year.

**Required:**

- (a) In accordance with HKAS 38 *Intangible Assets* and referring to Notes 2 and 3 in Question 2,
  - (i) explain why Brand A is an intangible asset with reference to the definition of intangible asset in HKAS 38;  
(6 marks)
  - (ii) explain with reference to the recognition criteria of intangible asset in HKAS 38, why Brand A can be recorded on Baboons' statement of financial position; and  
(3 marks)
  - (iii) explain whether the expenditure in relation to the development of Brand B and training its employees can be recognised as intangible assets on the statement of financial position of Baboons.  
(4 marks)

- (b) In accordance with HKAS 7 *Statement of Cash Flows*, prepare the statement of cash flows for Baboons for the year ended 31 March 2024 using the indirect method.

(15 marks)

**Question 3** (12 marks – approximately 22 minutes)

Caribou Limited ("Caribou") has a financial year end date of 31 March. Caribou owns a manufacturing plant ("Plant X"), which was acquired on 1 April 2018 at a cost of HK\$5,230 million. On 1 April 2018, Caribou estimated that Plant X has a useful life of 20 years with a residual value of HK\$1,230 million. Plant X was not impaired before.

On 30 September 2023, it was advised that Plant X would be seriously affected by extreme weather. The management of Caribou then estimated a shortened useful life for Plant X, with a remaining useful life of 5 years from 30 September 2023 onwards. There would however be no change in its residual value. The management believed that such change would help meet the objective of general purpose financial reporting in the *Conceptual Framework for Financial Reporting*.

Caribou measures its property, plant and equipment using the cost model in HKAS 16 *Property, Plant and Equipment*. Depreciation is recorded on a monthly basis.

**Required:**

- (a) In accordance with the *Conceptual Framework for Financial Reporting*,
- (i) outline the objective of general purpose financial reporting; and (2 marks)
  - (ii) explain the two fundamental qualitative characteristics for information to be useful. (4 marks)
- (b) Explain, with computations, how Caribou should account for issues in relation to Plant X during the year ended 31 March 2024. Your answers should include a discussion on how Caribou should deal with the change in useful life of Plant X in accordance with HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*. (6 marks)

**Question 4** (12 marks – approximately 22 minutes)

On 1 January 2023, Gorilla Limited ("Gorilla") had 20,000,000 ordinary HK\$1 share in issue. On 1 April 2023, Gorilla issued 2,000,000 ordinary shares at their full market price of HK\$5 per share. There has been no other share issue or repurchase of share during the year ended 31 December 2023. Gorilla had HK\$51,600,000 profit for the year ended 31 December 2023.

On 1 January 2023, Gorilla issued a total of 700,000 options (the "Options") to two of its executive directors, Mr. Oscar Choi and Ms. Jessie Yip. The Options can be converted into one ordinary share per option, at any time from the time of issue to 30 June 2024, with an exercise price of HK\$4. Gorilla's average share price over the year ended 31 December 2023 was HK\$7. Neither Oscar nor Jessie exercised the Options by 31 December 2023.

**Required:**

- (a) Calculate Gorilla's basic earnings per share for the year ended 31 December 2023. (4 marks)
- (b) Explain, with reference to HKAS 33 *Earnings per Share*, how the Options affect the calculation of Gorilla's diluted earnings per share for the year ended 31 December 2023. (6 marks)
- (c) Explain whether the issue of the Options is a related party transaction with reference to HKAS 24 *Related Party Disclosures*. (2 marks)

\* \* \* END OF EXAMINATION PAPER \* \* \*